

KLAR pitch deck

The court directory is empty and the parent data directory isn't readable from this session, so there's no file convention to match — the deck itself is the deliverable. Here it is, built strictly from the two bench rulings and the evidence pack.

PITCH — KLAR — PROPOSED VERDICT (PROPOSED — PENDING ADJUDICATION): Do not buy before the August 18 earnings report; a small initial position is allowed only after the report, and only if three specific disclosures all confirm.

What we believe

Klarna's consumer-credit story is *damaged but not disproven*. The original bull thesis said: credit losses are improving even as the loan mix shifts toward riskier longer-term lending, so the reported flat loss-provision rate (0.55% of merchandise volume in Q1) must mean each product is individually getting better. Our own adversarial review broke that argument. Klarna's own Q1 2026 earnings release ([primary source, p.6](#)) says the low provision rate is partly caused by something else entirely: the company sold \$1.2 billion of receivables off its balance sheet in Q1, and loans it no longer holds don't need loss provisions. Management can raise or lower this ratio by choosing how many loans to sell.

What survives: the underlying growth is real (revenue excluding one-off gains still grew about 36% year over year, with interest income up 56%), and the question "is credit actually improving?" is answerable on August 18, when the Q2 report and a new supplemental disclosure pack arrive. Our position is flat until then. If the report shows (a) provisions at or below 0.60% of volume, (b) receivable sales at or below Q1's \$1.2 billion pace (or numbers we can normalize for it), and (c) 2026 loan-vintage delinquency curves at or below 2025's, we take a small initial position at whatever price that confirmation costs — treating it as fairly paid risk, not a mispricing.

What the market believes

The stock closed at \$19.465 — 94% of its 26-week high of \$20.74, up 61% from the \$12.06 low, but still 59% below the \$47.48 post-IPO high. The market has already paid for the recovery story: the roughly 9% pop on the Apple partnership news is in the price, and the consensus read of Q1 (echoed in [coverage like Seeking Alpha's](#)) was "credit loss provisions dropped — credit is improving." The market is taking the headline provision ratio at face value. It is also apparently comfortable with Q2 profit guidance of \$30–50 million, *below* Q1's \$68 million — meaning a "profit fell" headline on August 18 is the base case, not a surprise.

Why we might have edge

- **We read the exhibits, not the prose.** Management’s text says delinquencies “continue to trend down,” but the vintage charts in their own release (p.7) show 2025 US Fair-Financing loans running *above* 2024 loans at the same age, and charge-off cohorts plateauing around 3.7–3.8%, higher than earlier cohorts. Few readers reconcile the charts against the narrative.
- **We decomposed the profit.** \$57 million of the \$68 million Q1 adjusted operating profit — about 84% — came from one-time gains on selling receivables, which pull forward lifetime loan economics into a single quarter. The “profitable now” story rests heavily on a lumpy, management-controlled line.
- **We know what the August 18 report must show.** Most observers will react to the headline provision ratio. We know that ratio can be steered by selling more loans, so we’ll be reading the receivable-sale volume and the new supplemental pack’s vintage curves — a like-for-like test the headline number can’t fake.

Why it might be priced in

- The stock already rerated 61% off the low and sits at its 26-week high; the recovery narrative and the Apple partnership are paid for.
- Bull-side symmetry our sceptic bench conceded: ex-gain revenue growth of ~36% is genuine, and the market may simply be pricing that correctly. Even if all three of our confirmation legs pass, this is likely *fair compensation for consumer-credit risk*, not a market error.
- The “credit improving” headline has already run once (the stock gained on the Q1 release); a clean Q2 confirmation may add little at this price.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Flat 0.55% provision rate through a riskier mix “arithmetically forces” per-product credit improvement	Read the company’s Q1-26 earnings PDF (p.6)	Company itself attributes the low rate partly to moving receivables off balance sheet — a third variable the thesis never modeled	No — refuted
The \$518M securitization investor “re-underwrote on Q2 performance data”	Fetches the company press release	No data period is stated anywhere; our own bull bench invented this detail	No — bench error (bull side)
The securitization itself degrades the provision metric (sceptic bench’s claim)	Blue bench re-read the same PR	Deals of this type typically leave assets on the balance sheet with provisions still recognized; the real contaminant is the loan <i>sales</i> , not the securitization — our sceptic bench overreached	Partly — bench error (sceptic side)
\$57M of \$68M Q1 adjusted operating profit is gain-on-sale	PDF pp.5, 8–9	Confirmed; also means the ex-gain “take rate” is ~2.83%, so the scary 28bp	Yes

Claim	How checked	Found	Confirmed?
		sequential drop is really ~11bp — a point that cuts <i>for</i> the bull	
“Delinquency rates continue to trend down” (management prose)	Read the vintage charts on p.7 (as images)	2025 curves sit above 2024 at like ages; charge-offs plateau higher; a footnote reserves the right to “adjust the curves”	Contradicted by the company’s own exhibits
The Q2-2025 comparison figure of ~0.60% provisions/volume	Traced its derivation	It blends a subsidiary’s statutory data with group-level volume; never reconciled	Unverified
Share price used in both bench arguments	Checked against the tape pack	Both benches wrote \$19.90; the actual figure is \$19.465. Conclusions unchanged, but the error is ours	Corrected
Live broker quote	Attempted IBKR pull, both benches	Permission denied both times; we relied on a same-day Yahoo close taken on a Sunday	Not confirmed — coverage gap
Partner bank (WebBank) credit data via FDIC call reports	Never actually pulled	Blue bench argues retained exposure is minimal, so low value — but the check was skipped, not passed	Unchecked
Insider Form 4 cluster (7 filings, Jun 30–Jul 1)	Not pulled by either bench	Possible insider-selling overhang into the report; both benches flagged it as owed	Unchecked
August 18 report date	Company PR via the thesis’s primary link	Confirmed, pre-open	Yes

One further process error: the sceptic bench’s detector checklist drifted from the assigned atlas (skipped four assigned checks, ran three unassigned ones). No finding changed, but the discipline lapse is logged.

PROPOSED ENTRY BANDS

The courts say **no entry now** — flat into August 18. These are the reopen conditions, from the benches’ own math:

Reopen path A — confirmation (the main path). On the August 18 Q2 report, all three must hold: 1. Loss provisions $\leq 0.60\%$ of merchandise volume; 2. Disclosed receivable-sale volume at or below Q1’s \$1.2B pace — or enough disclosure to normalize the provision ratio for sales before comparing; 3. 2026 loan-vintage delinquency curves at or below 2025’s in the new supplemental pack.

All three pass → **buy a small initial position at whatever price confirmation costs**, after first pulling and clearing the June 30–July 1 insider Form 4 cluster. Size: initial tranche only, capped within the consumer-credit sleeve; the benches set no numeric percentage and classify the position as fair-payment-for-risk (carry), not edge — size accordingly at the small end. **Any leg fails → the thesis is dead; revisit only on price.**

Reopen path B — price. The current price embeds the ~9% Apple-partnership pop. If the stock gives that back — roughly **below \$17.85** — the “you’re buying at the 26-week high” objection lapses and the name comes back for review (review, not automatic purchase).

Exits/trims: none proposed — there is no position.

Catalyst dates: August 18, 2026 pre-open — Q2 earnings + first supplemental disclosure pack (confirmed by company PR).

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 17.85 (deck-provisional: stock gives back the ~9% Apple-partnership pop currently embedded at \$19.465; reopens the name for rev)
- filing watch: 6-K until 2027-02-06 (deck-provisional: Q2 report + supplemental pack arrive as a 6-K carrying all three confirmation legs (provisions <=60bp,)
- dated pack KLAR|2026-08-18: KLAR: Q2 2026 earnings pre-open — the three-condition re-entry test; confirmed by company PR (date confirmed=True)

What remains unverified

- **The Q2-2025 comparison baseline (~0.60%)** — built by mixing subsidiary statutory data with group volume; if loan sales ramped after Q2-25, the comparison flatters 2026 further.
- **The insider Form 4 cluster** (June 30–July 1, 7 filings) — unread; must be pulled before any entry.
- **WebBank/FDIC call-report data** — never pulled; blue bench’s “retention is minimal” argument is reasoned, not evidenced.
- **A live, two-sided executable quote** — both IBKR attempts were permission-denied; all price references are a Sunday Yahoo close.
- **The securitization’s actual accounting treatment** — whether it affects recognized provisions at all is unresolved (blue bench believes not).
- **Whether a like-for-like, sales-normalized provision ratio is computable from the Aug 18 supplemental pack** — the entire confirmation path assumes the new disclosure is sufficient; if it isn’t, leg (b) fails by default and the thesis dies on schedule.

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One housekeeping note: the standing closing step (ledger upsert, edge classification, entry plan, scanner re-run, /api/everything verify) could not run from this session — the desk data directory outside `court_tmp` is not readable/writable here, the same repo-access gap the red bench logged. The verdict that should flow to the ledger is: **reject the pre-print starter; replace with the three-leg post-print confirmation rule plus the \$17.85 price reopen.**